

NovaChip Semiconductor Inc.

Third Quarter Fiscal 2026 Results - Unaudited

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Condensed Statement of Operations (USD millions)

	Q3 FY26	Q2 FY26	Q3 FY25	YoY %
Revenue	4,812	4,190	3,105	+55.0%
Cost of revenue	2,743	2,180	1,512	+81.4%
Gross profit	2,069	2,010	1,593	+29.9%
Research and development	742	690	561	+32.3%
Sales, general and admin	318	301	268	+18.7%
Operating income	1,009	1,019	764	+32.1%
Net income	846	858	631	+34.1%
Diluted EPS (USD)	1.72	1.75	1.29	+33.3%

Revenue by Segment (USD millions)

Segment	Q3 FY26	Q3 FY25	YoY %	Gross margin
Data Center	3,104	1,588	+95.5%	38.2%
Client Computing	902	941	-4.1%	51.7%
Embedded and IoT	486	402	+20.9%	58.4%
Automotive	320	174	+83.9%	44.1%
Total	4,812	3,105	+55.0%	43.0%

Selected Balance Sheet Data (USD millions)

	Q3 FY26	FY25 year end
Cash and equivalents	6,240	5,118
Inventory	2,905	1,442
Total debt	3,100	3,100
Total shareholders' equity	14,760	12,890

Management Discussion

Revenue grew 55.0% year over year, led by Data Center, where accelerator shipments nearly doubled. Consolidated gross margin declined to 43.0% from 51.3% in the prior-year quarter. The decline is attributable to segment mix: Data Center now represents 64.5% of revenue at a 38.2% gross margin, materially below the corporate average, and to elevated foundry wafer pricing under contracts renegotiated in the second quarter.

Inventory rose 101.5% versus fiscal year end, ahead of revenue growth. Management attributes the build to advance procurement of substrate and high-bandwidth memory ahead of anticipated fourth quarter demand.

Guidance

Fourth quarter revenue is expected to be 5,150 million USD, plus or minus 150 million. Gross margin is expected to be approximately 41.5%, reflecting continued Data Center mix shift. Operating expenses are expected to be 1,110 million USD.

Risk Factors

1. Customer concentration. Three hyperscale customers accounted for 61% of Data Center revenue in the quarter. Loss of any one would materially affect results.
2. Supply. The company relies on a single foundry partner for its 3nm and 2nm nodes and has no qualified second source.
3. Inventory risk. Should fourth quarter demand fall short of the advance procurement described above, the company may record write-downs.
4. Export controls. Approximately 18% of Data Center revenue derives from customers in jurisdictions subject to evolving export licensing.